performance if the breakout is within a third of the yearly low. Bear markets do best in the middle range. However, the differences (for their respective market) are close, so I'm not convinced this is something you need to pay attention to.

Pullbacks. Pullbacks occur about two-thirds of the time.

It takes less than 2 weeks for price to return to the breakout price. When a pullback occurs, the eventual decline is less than if the pullback was absent. Thus, for the best performance, look for underlying support and avoid trading a stock when support is nearby.

Table 42.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	118 or 18%	16 or 7%
10	144 or 40%	30 or 20%
15	94 or 55%	27 or 32%
20	85 or 68%	34 or 47%
25	59 or 77%	32 or 61%
30	47 or 84%	28 or 73%
35	39 or 90%	15 or 79%
50	51 or 98%	38 or 96%
75	13 or 100%	9 or 100%
Over 75	1 or 100%	0 or 100%